

→ 2 Economic Problems

- (1) Production
- (2) Development

→ Economic Agents / Actors :

- (1) Firms
- (2) Households
- (3) Governments

- Model : Assumptions , Conclusions
Agents - functions - Interaction

→ GDP :

Monetary value - Final Goods and Services - In a country

GNP :

Everything produced by Nationals no matter where.

• Measuring GDP :

(i) Expenditure Approach :

Consumer Expenditure
Business Investment
Government

$$\text{Final Expenditure} = C + I + G$$

(ii) Production Approach :

$$\text{Wages} + \text{Profit} + \text{Rent} + \text{Interest} = \text{Value of Product}$$

(iii) Income Approach :

$$\text{Value of Product} = \text{Income of Actor}$$

→ Economic Growth :

Social Progress - Instrumental Importance
Economical Welfare - Historical Significance

- Real GDP per capita : Per person

- Disadvantage of GDP :

- (i) Pollution
- (ii) Household Unpaid work
- (iii) Inequality

- Measuring GDP - difficulties :

- (i) Blurred Boundaries , e.g. WFH - electricity bill
- (ii) Free Value , e.g. Open Source Projects

- GDP , Unemployment Rate

s/z



- Fiscal Deficit = (Expenditure - Income) of Government

Govt. should reduce Fiscal Deficit ? No

Yes $\implies$ Inflation $\uparrow$

Private Investment $\downarrow$

- Say's Law :

Aggregate supply creates its own demand.
 $\hookrightarrow$ Does not explain Recession

- Ricardo - Theory of Trade

Every country must trade - Relative Advantage

- Malthus : Law of Population

Population - Geometric $\uparrow$
Agriculture - Arithmetic $\uparrow$ } But no Proof

- Pareto - Something good $\implies$ Some other thing bad $\therefore$ Social Change
 $\hookrightarrow$ Efficiency

Pigou - Manipulate market prices

- Akerlof : Market for Reused Cars (Good & Bad)
Seller has more information — Bad Cars remain
Good Cars exit

- Neoclassical Schools : Rational when Self-Obsessed

Marxist Schools : Workers as a class

Work should not be treated as bad. Should be of interest.

Promote Capitalism